IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT – II)
IN
Company Petition No. – C.P.(CAA)-57(ND)/2021
IN
Company Application No. – C.P.(CAA)/46(ND)2021

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

THISTLE EQUITY CONSULTANT LIMITED **...Petitioner No. 1/ Transferor Company**

AND

ZINNIA EQUITY CONSULTANT LIMITED **...Petitioner No. 2/ Transferor Company**

AND

VASHU EQUITY PRIVATE LIMITED **...Non-Petitioner/ Transferor Company**

AND

METRO TECHNOBUILD PRIVATE LIMITED

...Petitioner No. 3/ Transferee Company

WITH

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order delivered on 19.03.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT:

For the Applicant	**:**	Sr. Adv. U.K. Choudhary, Adv. Mansumyer Singh
For the OL	**:**	Adv. Hemlata Rawat and Rahul Bhatt
For the RD	**:**	Adv. Shankari Mishra

ORDER

1. The present petition has been preferred by the Petitioner Companies under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.
2. M/s Thistle Equity Consultant Limited (hereinafter referred to as "the **Petitioner No. – 1/ Transferor Company**") having CIN U65923DL2015PLC276532 is a company incorporated on 10.02.2015 under the Companies Act, 2013. The Registered Office of the Transferor Company is situated at A-6/86, Sector-17 Rohini, North West Delhi, Delhi-110089.
3. Zinnia Equity Consultant Limited (hereinafter referred to as "the **Petitioner No. – 2/ Transferor Company**") having CIN U74999DL2015PLC276299 is a company incorporated on 04.02.2015 under the Companies Act, 2013. The Registered Office of the Transferor Company is situated at A-6/86, Sector-17 Rohini, North West Delhi, North West, Delhi, Delhi, India, 110089.
4. Vashu Equity Private Limited (hereinafter referred to as "the **Non-Petitioner / Transferor Company**") having CIN U74120UP2011PTC052656 is a company incorporated on 17.01.2011 under the erstwhile Companies Act, 1956. The Registered Office of the Transferor Company is situated at Khasra No.1026, Bisark Road, Chapraula, Ghaziabad, Gautam Budhdha Nagar, Uttar Pradesh, India, 203207.
5. Metro Technobuild Private Limited (hereinafter referred to as "the **Petitioner No. 3/ Transferee Company**") having CIN U45400DL2007PTC167037 is a company incorporated on 16.08.2007 under the erstwhile Companies Act, 1956. The Registered Office of the

Transferee Company is situated at 397, Kohat Enclave Pitampura, North West, Delhi, Delhi, India, 110034.

6. The present Petition has been filed jointly by the Transferor Companies and Transferee Company. The Registered offices of these Petitioner Companies being in Delhi, the jurisdiction lies with this Bench. The Scheme qua Non-Petitioner/ Transferor Company has already been approved by the Allahabad Bench of this Tribunal vide its Order dated 08.02.2022 in C.P.(CAA) No. – 09/ALD/2021. The directions passed vide this order shall be confined to the Petitioner Companies only.
7. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors was filed before this Bench. That this Tribunal in the First Motion Application bearing No. – C.A.(CAA)-46/ND/2021, vide Order dated 26.04.2021, had dispensed with the requirement of convening the meetings of the Shareholders and Unsecured Creditors in respect of the Applicant Companies. Since there was no Secured Creditor in any of the Applicant Companies, the requirement of dispensing with their meeting did not arise.
8. The Appointed date as per clause 1.1 (b) of the Proposed Scheme of Amalgamation is 01.04.2022.
9. Subsequently, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and to such other Objector(s), if any, and also for publication of the said Scheme. Directions were issued, vide Order dated 31.05.2021 of this Tribunal, requiring the Petitioner Companies to carry out necessary publication with regard to the said Scheme in two national newspapers.
10. It is submitted by the Petitioner Companies that in compliance of the above stated directions, the Petitioner Companies have duly filed an Affidavit of Service confirming that the aforesaid Notices of the present

Company Petition were published in the "Business Standard" (English) and (Hindi) on 11.06.2021.

11. Accordingly, the Regional Director has filed its Report dated 17.09.2021 and has raised the following objections qua approval of the scheme: -

11.1. On perusal of the documents filed by the Petitioner Transferor Companies and the Non-Petitioner/Transferor Company No. 3 at MCA Portal, it is found that Transferor Company No. 3 has filed Return of Allotment of Preference Shares and Equity Shares in the FY-2011-12 showing allotment of shares.

Preference Shares

Date of Allotment	No. of allottees	No. of shares	Face Value per preference share (in Rs.)	Security premium per share (in Rs.)	Amount Received towards share capital (Rs. In lakhs)	Amount Received towards security premium (Rs. In lakhs)
28.02.2012	39	35,839	100	5700	35.84	2042.82
28.03.2012	27	53,309	100	5700	53.31	3038.61
Total	**66**	**89148**			**89.15**	**5081.43**

Equity Shares

Date of Allotment	No. of allottees	No. of shares	Face Value per equity share (in Rs.)	Security premium per share (in Rs.)	Amount Received towards share capital (Rs. In lakhs)	Amount Received towards security premium (Rs. In lakhs)
28.03.2012	04	79,960	10	590	7.99	471.76
Total	**04**	**79,960**			**7.99**	**471.76**

11.2. The Transferor Company No. 3 has issued the shares (both Preference and Equity Shares) at high premium to 70 allottees as stated in the report (details of addresses etc. are not furnished by Transferor Company No. 3 in Return of Allotment, except their names).

11.3. Out of those Preference Shares (as allotted by Transferor Company No. 3), 81,352 shares allotted to 61 allottees were transferred to 9 no. of Private Limited Companies before the

immediate Annual General Meeting of the Transferor Company No. 3 as convened after the allotment of those preference shares, evidenced from the Annual Return filed by Transferor Company No. 3 for the Financial Year ending on 31.03.2013. Further, these 9 Private Limited Companies have transferred their holding of 89,148 shares to the Transferor Company No. 1 i.e. Thistle Equity Consultant Limited on 25.03.2016 as evidenced from the extracts of the Annual Return filed by Transferor Company No. 3.

11.4. The Equity Shares of the Transferor Company No. 3 as held by the allottees, those 9 companies have transferred 87,960 no. of Equity Shares of Transferor Company No. 3 to Transferor Company No. 2 i.e. Zinnia Equity Consultant Limited as evidenced from the share transfer details dated 25.03.2016 enclosed with the Annual Return of the Financial Year ended on 31.03.2016 as file Transferor Company No. 2.

11.5. As evidenced from the Balance Sheet as at 31.03.2020 of Petitioner Transferor Companies and Non-Petitioner Company, it is found that the entire Preference Shares i.e. 89,148 no. of Rs. 100/- each issued by Transferor Company No. 3 are held by the Transferor Company No. 1 whereas under asset side of the Balance sheet of Transferor Company No. 1 its investment value has been shown as Rs. 8,31,780/- only. From the above value of investment and allotment of preference shares by the Transferor Company No. 3, it is found that the Preference shares of face value of Rs. 100/- which were issued at price of Rs. 5800/- (issued at premium of Rs. 5700/- per share) were acquired by the Transferor Company No. 1 at an average price of Rs. 9.33/- per share.

11.6. Further from the Balance Sheet as at 31.03.2020 of the Petitioner Transferor Companies and Non-Petitioner Company, it is found that the substantial number of Equity shares i.e 87,960 of face value of Rs. 10/- each of the Transferor Company No. 3 are held by the Transferor Company No. 2, shown as investment by the Transferor Company No. 2 under asset side of the Balance Sheet as

at 31.03.2020 which investment value has been shown as Rs. 8,59,300/- only. From the above investment of Transferor Company No. 2, it is found that the Equity Shares of face value of Rs. 10/- which were issued at Rs. 600 (issued at premium of Rs. 590/- per share by the Transferor Company No. 3) were acquired by the Transferor Company No. 1 at an average price of Rs. 9.33/- per share.

11.7. Through this process of such allotment of shares and transfer/acquisition of shares, the entire premium amount and substantial face value of shares are booked as loss in the Books of the respective intermediary allottees i.e. through the issue of shares by Transferor Company No. 3 and acquisition of those shares by Transferor Company Nos. 1 and 2, loss of an amount of Rs. 56,39,72,625/- (Security Premium of Rs. 55,53,20,000/- + value of share of Rs. 86,52,625/-) have been booked in the books of accounts of the intermediary allottees by giving corresponding gain to the Petitioner and Non-Petitioner Transferor Companies.

11.8. The Transferor Companies will dissolve on approval of the scheme which may result into regularising the elements of dressed transactions involved in rotation of money through the intermediary entities (Allottees) to Transferor Company – 3 then to Transferor Company – 1 and Trasnferor Company – 2 and thereafter, finally the entire amount will be pulled to the Transferee Company allowing dissolution of all the Transferor Companies.

11.9. It is emerged that there was no drastic change in the wealth of the Transferor Company No. 3, so that its net worth may attract issue of shares at high premium i.e issue price of the Preference Share at Rs. 5800/- and Equity Shares at Rs. 600/- which are sold at Rs. 9.33/- each (approx..) within a short span of time while all the Petitioner Companies are under the same group of management.

11.10. These matters as stated above have material impact upon the national exchequer and also there may be money trail involved in conduit and this rotation of money falls under the ambit of money

laundering involving these companies and persons behind the concert.

12. In response to the Report filed by the Regional Director, the Petitioner submitted the following: -

12.1. The fact is that the Transferor Company allotted Preference and Equity Shares at a combined price of Rs. 56.50 crores.

12.2. The value of the shares was decided by Transferor Company as per the laws in force at that point of time without violating any provisions of related statute. The Transferor Company filed all the relevant and required returns and submitted the documents with the appropriate authorities including the office of Registrar of Companies, NCR of Delhi and Haryana, New Delhi (hereinafter referred to as ROC). Due to oversight by the concerned staff, addresses of the allottees were not furnished. However, neither the ROC nor Learned RD raised any objections on non-furnishing of addresses of the allottees in the past ten years and the said e-form/intimation stands approved in the record of concerned RoC.

12.3. The Transferor Company approached CLB for shifting of its Registered Office from NCT of Delhi to Uttar Pradesh and the CLB passed the order for shifting of registered office on 09.08.2012 on C.P. 294/17/2012 and the same was not objected upon either by ROC or RD on non-submission of addresses of the allottees neither the issues of money laundering were raised.

12.4. The assessment of AY 2012-13 corresponding to FY 2011-12 was completed under Section 143(3) of Income Tax Act, 1961. During the assessment proceedings, the Assessing Officer (AO) has not only asked for documents from the allottees to prove their identities, genuineness of transactions and their creditworthiness, the AO has asked all the allottees to present themselves in person for personal disposition and all allottees except one presented themselves personally or through their Directors/Partners/Proprietors as well as A.R. and the A.O. has held that receipt of the share money on premium by the Transferor

Company has passed the three limbs i.e. identity, genuineness and creditworthiness of Section 68 of Income Tax Act, 1961 and the same is reflected in its Assessment Order dated 31.03.2015.

12.5. Based on the report of the Investigation Wing of the Income Tax Department the assessment proceedings for the A Y 2012-13 were re-opened because one person could not appear in person at the time of original assessment. The same person did not appear in person again but submitted all the documents to the AO. The AO because of non-appearance, held that contribution of this one entity does not fulfil the requirement of section 68 of the Act and hence, added the amount of contribution of this entity as undisclosed income. Copy of the assessment order passed under section 143(3)/147 of the Act dated 13-12-2019 is attached as Annexure-2. Aggrieved by this Order, the Transferor/Petitioner Company filed appeal with the Commissioner of Income Tax (Appeal), which is pending for final disposal.

12.6. The IT Department having jurisdiction over the Transferor Company has not raised any objections on the genuineness of shares issued on premium as well as the identity of the shareholders and confirmed the transactions of shares issued and transferred on premium.

12.7. Subsequently, the assessments of the Transferor Company for the AY 2015-16 and AY 2017-18 were also completed under section 143(3) with detailed examination of the records of the Transferor/Petitioner Company and orders were passed on 30-11-2017 and 11-12-2019 respectively without any objection on transfer for shares on a premium, which was less than the original premium at the time of allotment of shares.

12.8. The RD in his affidavit has also alleged that shares of the Transferor/Petitioner Company have been transferred during the FY 2015-16 at below the value of the shares. The Learned RD has also alleged that the process of allotment of shares and transfer of shares at less than the original value entitled booking of losses by the

respective transferor shareholders in their books and defrauded the national exchequer.

12.9. The transaction of transfer of shares is between and among the shareholders who decide the value of shares. The valuation arrived at the time of transfer of shares was within the framework of respective statutes without violating any applicable law. The Transferor/Petitioner Company, per se has no role or authority to decide the transfer price and as per its Articles of Association, is liable to give effect to the transfer on the request of the shareholders/transferees. Relevant details of such transfers were filed on time with the ROC. No objection has been raised on the valuation or system of transfer by ROC so far.

12.10. The Transferor/Petition Company has paid its statutory dues including income tax regularly and there is no avoidance of taxes at any stage. The Transferor/Petitioner Company has never avoided paying due taxes to the National Exchequer.

12.11. There is no finding of any tax violation by any Income Tax Authority in the present case. More so, the Income Tax Department with respect to all the companies involved in the present amalgamation has issued No Objection (NOC) for the present scheme of Amalgamation.

12.12. The transactions of allotment and transfers of shares have been scrutinized in detail by the Income Tax Department on several occasions. The Income Tax Department has not come across any adverse finding and held that transactions are genuine. Even the personal dispositions of the allottees and transferors have been recorded on oath by the Income Tax Department during assessment proceedings in respect of the shares allotted and transferred and have accepted their statements. Therefore, it is wrong to allege that the Transferor/Petitioner Company has received the said money against allotment from illegal/criminal activities, which tantamount to money laundering activities. The observations are completely out

of context and unwarranted and contrary to the earlier report of the Learned RD.

12.13. As far as the objection of the Ld. RD with respect to money laundering activities is concerned, the contention is of little relevance for the consideration of sanction of the scheme by the Court for the fact that no such proceeding has yet been taken up against the Transferor/Petitioner Company for the last ten years. Admittedly as per the report of the RoC and the RD, no prosecution has been filed and no inspection or investigation has been conducted in respect of the Transferor/Petitioner Company or other Transferor/Transferee Companies. The Petitioner Companies have disclosed all material facts relating to the Companies as per section 230 (2) of the Companies Act, 2013.

12.14. The intimation with regard to issue of shares (both Preference and equity shares) at premium was furnished by the Transferor/Petitioner Company on due dates and reports of allotment report was filed with the Ministry of Corporate Affairs on 28-03-2012 without any demur.

12.15. The prohibition on the sanctioning of the scheme of arrangement by this Hon'ble Tribunal would arise only in the event of the latest financial position of the company, latest auditor's report on the accounts of the company, the pendency of any investigation proceedings in relation to the Transferor/Petitioner Company under section 210 and 213 of the Companies Act 2013 and other applicable Acts/Regulations into the affairs of the Company and essential statutory compliances having bearing on situations illustratively set out in proviso to Section 230(2) not being disclosed to Hon'ble Tribunal. Non-disclosure of other facts regarding the affairs of the company particularly commercial matters with multiplicity of parties unrelated to the scheme and confidentiality issues cannot entail the rejection of the scheme.

12.16. It is a well settled principle of law that the Hon'ble Tribunal while evaluating the scheme, of which sanction is sought under

sections 231 to 232 will not ordinarily interfere with the corporate decision of a company approved by its shareholders and creditors unless it can be shown that the scheme is not fair, just and reasonable or that it is in contravention of statutory provisions and/or public interest. Mere reason to suspect that the Petitioner Companies have carried on money laundering activities cannot be a rule to order investigation into the affairs of the Petitioner Companies without following the due procedure as laid down under chapter XIV of the Act 2013.

12.17. The sanctioning court has to see to it that all the requisite statutory procedure for supporting such a scheme has been complied with and that the requisite to meetings as contemplated by Section 391(1) (a) have been held.

12.18. The scheme put up for sanction of the Court is backed up by the requisite majority vote as required by Section 391(2).

12.19. The meetings concerned of the creditors or members or any class of them had the relevant material to enable the voters to arrive at an informed decision for approving the scheme in question. That the majority decision of the concerned class of voters is just and fair to the class as a whole so as to legitimately bind even the dissenting members of that class.

12.20. All necessary material indicated by Section 393(1)(a) is placed before the voters at the meetings concerned as contemplated by Section 391 sub-section (1).

12.21. All the requisite material contemplated by the proviso of sub-section (2) of Section 391 of the Act is placed before the Court by the applicant concerned seeking sanction for such a scheme and the Court gets satisfied about the same

13. We have heard the submissions of RD and Petitioner Companies. The RD has raised objections to the approval of the scheme mainly because of transfer of shares which had happened amongst the Petitioner and Non-Petitioner Companies. It is the contention of the RD that through this process of allotment of shares and transfer/acquisition of shares,

the entire premium amount and substantial face value of shares are booked as losses in the Books of the respective intermediary allottees i.e. through the issue of shares by Transferor Company No. 3 and acquisition of those shares by Transferor Company Nos. 1 and 2, loss of an amount of Rs. 56,39,72,625/- (Security Premium of Rs. 55,53,20,000/-+value of share of Rs. 86,52,625/-) have been booked in the books of accounts of the intermediary allottees. Further, the Transferor Companies will dissolve on approval of the scheme which may result into regularising the elements of dressed transactions involved in rotation of money through the intermediary entities (Allottees) to Transferor Company – 3 then to Transferor Company – 1 and Transferor Company - 2 and finally the entire amount will be pulled to the Transferee Company allowing dissolution of all the Transferor Companies.

14. Per Contra, the Petitioner Companies have contended that the value of the shares was decided by Transferor Company as per the laws in force at that point of time without violating any provisions of related statute. The transactions of transfer of shares are between and among the shareholders, who decide the value of shares. The valuation arrived at the time of transfer of shares was within the framework of respective statutes without violating any applicable law. The Transferor/Petitioner Company, per se, has no role or authority to decide the transfer price and as per its Articles of Association, is liable to give effect to the transfer on the request of the shareholders/transferees. Relevant details of such transfers were filed on time with the ROC. No objection has been raised on the valuation or system of transfer by ROC so far.

15. The objections by the Regional Director are primarily on the ground that the Transferor Company No. 3 has issued shares (both Preferential and Equity Shares) at high premium to 70 allottees, for which the addresses have not been furnished in the Return of Allotment. Furthermore, all the bulk of Preferential Shares have been allotted to 61 allottees, which in turn was transferred to 09 Private Limited Companies. These shares have been

subsequently transferred to the Transferor Company No. 2 i.e., M/s Zinnia Equity Consultant Limited.

16. The RD has also pointed out that the Balance Sheet as on 31.03.2020 of Transferor Company No. 1 has acquired the Preference Shares at an average price, which is lower than the price at which shares have been issued. From the Balance Sheet, the RD has informed that even the Transferor Company No. 1 has acquired the Equity Shares at a price, which is lower than the price at which the same were issued. It is also alleged that the face value of the shares and premium paid on which has been booked as loss in the Books of the respective intermediary allottees by giving corresponding gain to the Petitioner and Non-Petitioner Transferor Companies.

17. Thus, RD/ROC has alleged that by entering into a series of sham share transactions among the group companies, the petitioners have violated the provisions of the law and such a violation will have a material impact on the national exchequer.

18. Per contra, the petitioners have attached the assessment orders under Section 143(3) of the Income Tax Act, 1961 for the Assessment Year 2012-13 in the case of M/s Vashu Equity Private Limited , in support of their claim that the genuineness of these transactions including that all the identities and investments made by the allottees have been scrutinised in the Assessment Order 2012-2013 corresponding to FY 2011-12 was completed under Section 143 (3) of the Income Tax Act, 1961.

19. Furthermore, the said assessment proceedings were reopened and only one entity was found to be fulfilling the requirements of the Section 68 of the Act and his contribution of their books in the undisputed income in the Assessment Order under Section 143 (3)/147 dated 13.12.2019. The Income Tax Department having jurisdiction over the Transferor Company has not raised any objections on the genuineness of shares issued on premium as well as the identity of the shareholders and confirmed the transactions of shares issued and transferred on premium.

20. Subsequently, the assessment of the Transferor Company for the AY 2015-16 and AY 2017-18 were also completed under Section 143(3) and

the respective Assessment Orders passed on 30.11.2017 and 11.12.2019 have been attached to the reply filed by the Petitioner.

21. It is seen that the issue of cash deposit amount has been a subject matter of scrutiny in the Assessment Year 2012-13. In the case of M/s Vashu Equity Private Limited i.e., Non-Applicant Company before us. As mentioned In the Assessment Order dated 13.12.2019 of the said case, the Income Tax Department has issued summons to the Directors of the company share capital including share premium. Only in one case, share capital receipt was held to be not genuine, as nobody failed to respond to summons of the Income Tax Department and his identity could not be proved. In the subsequent scrutiny assessment in the same case in 2015-2016 (Date of Order 30.11.2017) and Assessment Year 2017-18 (Date of Order 11.12.2019) no additions have been made on account of share capital introduction. Though this Company is a Non-Petitioner in the Application before us, prima facie, the introduction of Share Premium has taken place in this company, and the same is linked to the impugned share transactions which are the subject matter of RD/ROC's Report in the Petitioner Companies. These findings of the aforementioned scrutiny assessments, therefore, support the claim of genuineness of the introduction of share premium in the Petitioner Companies.

22. In the case of Thistle Equity Consultant Limited (Petitioner No.1/ Transferor Company) and M/s Zinnia Equity Consultant Limited (Petitioner No.2/ Transferor Company). The Department has clearly stated that no proceedings and tax demands are pending. In the case of M/s Thistle Equity Consultant Limited, it is stated that neither proceedings/taxes demands pending for recovery exist nor any investigation /enquiry is pending.

23. The Income Tax Department has also given unqualified No Objection to the proposed Amalgamation Scheme to M/s Thistle Equity Consultant Limited, M/s Zinnia Equity Consultant Limited with M/s Metro Technobuild Private Limited.

24. In the context of the aforementioned discussion, we observe that there is no mention of any proceedings initiated by the RD/RoC with regard to

the allegations made in their report, despite the fact that the issue pertains to financial year 2011-12 and subsequent period. Thus, RD/ROC had ample power to take action in respect to the said allegations. It is also a matter of record that the Income Tax Department had carried out a detailed inquiry in its proceedings regarding introduction of share equity premium of Rs. 56.5 crores in the group companies including the petitioners, i.e, the subject matter of the allegations made by the RD/ROC, and found the transactions genuine except in the case of one shareholder and the matter is under appeal. Further, the Income Tax Department has given an unqualified 'No Objection' to the proposed amalgamation. Furthermore, the RD/ROC Report does not contain reference to violation of any specific provision of Companies Act, though they have made a general allegation of loss to the national exchequer.

25. We also make it clear that approval of the present proposal of amalgamation in no way takes away the powers of the RD/RoC to initiate the required action, if any, in the case of any of the petitioners. Further, on sanction of the scheme, all the proceedings qua Transferor Company can continue in the name of Transferee Company, as if those proceedings were initiated against Transferor Company. Hence, an order regarding approval of scheme cannot create any impediment before any Authority to proceed against either Transferor or Transferee Company.

26. In view of the aforementioned observations, no adverse view is taken on the basis of the observations in the RD/RoC Report.

27. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all the Petitioner Companies to the proposed Scheme and no sustainable objection having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly**, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**, in respect of Petitioner Companies only. The sanctioned Scheme of Amalgamation shall be

binding on the Transferor Company and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

28. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

29. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

30. **THIS TRIBUNAL FURTHER DIRECTS** with respect to the Petitioner Companies, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2020, all the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) That all the property, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies but subject nevertheless to all charges now affecting the same; and

(iii) That all the liabilities and duties of the Transferor Companies be transferred, without further act or deed, to the Transferee Company

and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(iv) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to include under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(v) All contracts of the Transferor Companies which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(vi) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(vii) That the proceedings, if any, now pending by or against the Transferor Companies be continued by or against the Transferee Company;

(viii) That the Transferee Company shall, without further application, allot to the existing members of the Transferor Companies shares of Transferee Company to which they are entitled under the said Scheme;

(ix) That as per the Section 232(3)(i),the fee, if any, paid by the Transferor Companies on their authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the sanction of the 'Scheme';

(x) That the carry forward and set off of accumulated losses in the Petitioner Company, if any, shall be subject to applicable provisions of Income Tax including Section 72A and Section 79 of the Income Tax Act, 1961;

(xi) That the assessment under the Income Tax Act, if any will be in accordance with the provisions of Section 170 (2A) of the Income Tax Act, 1961;

(xii) That the Transferee Company shall file the revised memorandum and articles of association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(xiii) That the Petitioner Company shall, within 30 days after the date of receipt of this order, cause a certified copy of this order to be delivered to the concerned Registrar of Companies for registration; and

(xiv) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

31. In the wake of the stand of the applicants noted in para 12.5 and 12.6 above and in the backdrop at the observation made in paras 24 and 25, it is made clear that nothing observed hereinabove may be construed as absolving the Ex-Promoters/Management/Transferee Company from the action if any warranted, against them, in terms of the observation made by RD, referred to in paras 11.7 to 11.11 above.

32. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to Transferee Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to both the Petitioner Companies shall be consolidated accordingly.

33. **The Company Petition is disposed of in the aforesaid terms**.

Sd/-
(SUBRATA KUMAR DASH)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)